# Three-Sleeve Low-Correlation Trend Resumption (a06-riskmanaged)

## Strategy as submitted

Everything below is what the analyst submitted before the trading window ran. A result cannot be checked against a strategy that is not shown alongside it.

### *Discipline*

risk-managed

### *Thesis*

```
Round 1 forced a two-name book (SCHD, BRK.B) because every other calm candidate in that universe had a
```

### *Universe*

TLT, USMV, XLU

### *Entry rule*

```
close > sma(200) and close > sma(50) and rsi(14) > 40 and rsi(14) < 60 and close crosses_above ema(10)
```

### *Exit rule*

```
close < sma(50)
```

### *Brackets and sizing*

| | |
|---|---|
| **Stop loss** | 6.00% |
| **Take profit** | 6.00% |
| **Max hold days** | 90 |
| **Max positions** | 3 |
| **Position size (fraction of equity)** | 33.00% |
| **Designed through** | 2026-02-13 |

## Trading window

Designed through 2026-02-13. Traded 2026-02-17 through 2026-08-18, 127 sessions. The design window and the trading window are different windows -- the design cutoff is before the first traded session -- which is what makes this an out-of-sample result rather than a fit graded on the data used to build it.

## Results

| | |
|---|---|
| **Total return** | -0.40% |
| **Max drawdown** | -2.20% |
| **Sharpe** | — |
| **Sortino** | — |

| | |
|---|---|
| **Volatility** | — |
| **Exposure** | 75.59% |
| **Win rate** | 42.86% |
| **Profit factor** | 0.71 |
| **Trade count** | 8 |

### *Reward:risk, planned versus realised*

Planned is the ratio the card declared before trading (take-profit over stop-loss). Realised is what actually happened -- mean winning return over mean losing return -- since most trades exit on the rule or the time stop, not on either bracket.

| | |
|---|---|
| **Planned reward:risk (card)** | 1.00 |
| **Realised reward:risk** | 0.71 |

### *Benchmark comparison*

| | |
|---|---|
| **Strategy total return** | -0.40% |
| **Buy-and-hold benchmark return, same sessions** | 12.84% |
| **Excess over benchmark** | -13.24% |

## Trades

8 trades.

| Symbol | Entry | Exit | Qty | Entry $ | Exit $ | PnL | Return | Reason |
|---|---|---|---|---|---|---|---|---|
| USMV | 2026-02-17 | 2026-03-12 | 34 | $96.24 | $94.96 | $-43.62 | -1.33% | rule |
| XLU | 2026-03-31 | 2026-04-21 | 71 | $45.87 | $45.89 | $1.32 | 0.04% | rule |
| USMV | 2026-05-01 | 2026-05-05 | 34 | $95.07 | $94.55 | $-17.78 | -0.55% | rule |
| XLU | 2026-05-01 | 2026-05-07 | 70 | $46.86 | $45.60 | $-88.30 | -2.69% | rule |
| USMV | 2026-05-13 | 2026-06-18 | 34 | $94.28 | $94.94 | $22.34 | 0.70% | rule |
| USMV | 2026-06-29 | 2026-07-24 | 34 | $96.05 | $96.26 | $7.04 | 0.22% | rule |
| XLU | 2026-07-06 | 2026-07-30 | 72 | $45.73 | $45.18 | $-39.70 | -1.21% | rule |
| USMV | 2026-07-27 | — | 34 | $97.44 | — | $104.72 | 3.16% | open_at_end |

## Rejected orders

Orders the mock broker refused. A strategy whose orders were mostly rejected did not run as written, and omitting this list would describe a different strategy.

None. Every order this strategy sent was accepted.

## Statistical significance

p-value (two-sided, binomial on the win/loss record): —

q-value, corrected via Benjamini-Hochberg across the 26 strategies tried in this tournament: —

## Limitations

• 127 sessions is one market regime, not a sample of regimes. A strategy that worked here has not been shown to work in a rising-rate, high-volatility, or sideways regime -- only in whatever this one was.

• The traded universe was chosen because the user already trades these names. That is a selection effect, not a random or representative sample of the market, and it biases every result in this report in a direction that cannot be corrected after the fact.

• Fills are simulated: orders execute at the next session's open with deterministic adverse slippage applied by the mock broker. These are not real fills -- a live broker would fill some orders worse, and might reject orders this simulation accepted.

• This is a simulation of a trading strategy, not investment advice, and no figure in this report should be treated as a recommendation to trade.